Supplier Policy

Northfield Warehouse Services - Procurement Policy PROC-002

Version 1.2 | Effective date: 2026-10-01 | Policy owner: Operations Director | Next review: 2027-04-01

1. Purpose and Scope

This policy sets out how Northfield Warehouse Services selects, orders from, pays and reviews its suppliers. It applies to every employee who raises, approves or receives a purchase order (PO), including warehouse staff, shift leads, the Warehouse Manager and the Operations Director. It covers all purchases of packaging, pallets, safety equipment and other operating supplies. Where this policy conflicts with an older instruction, this policy takes priority.

2. Approved Supplier List

Purchase orders may only be placed with the suppliers on the Approved Supplier List below. The list is maintained by the Warehouse Manager and signed off by the Operations Director.

Supplier	Category	Products (SKU)	Lead time	Min. order qty	Order contact
PackRight GmbH	Packaging (tape, boxes)	PKG-TAPE-001 Packing Tape 48mm; PKG-BOX-002 Corrugated Box Medium	5 days	50 units	orders@packright.de
PalletCo	Pallets (Euro pallets)	PAL-STD-001 Standard Euro Pallet	10 days	20 units	sales@palletco.com
SafeGear Supplies	Safety equipment (hi-vis vests, gloves)	SAF-GLV-001 Safety Gloves L; SAF-VST-001 Hi-Vis Safety Vest	7 days	30 units	contact@safegear.io

In summary: PackRight GmbH supplies packing tape and boxes with a lead time of 5 days and a minimum order quantity of 50 (orders@packright.de). PalletCo supplies Standard Euro Pallets with a lead time of 10 days and a minimum order quantity of 20 (sales@palletco.com). SafeGear Supplies supplies safety gloves and hi-vis vests with a lead time of 7 days and a minimum order quantity of 30 (contact@safegear.io).

Lead times are stated in calendar days from the date the supplier confirms the order. SafeGear Supplies is the only approved safety supplier. Safety equipment (gloves, vests and any other personal protective equipment) must only be bought from an approved safety supplier; buying safety equipment from a retail shop or an unapproved online seller is not allowed, even in an emergency.

3. Selecting and Onboarding a New Supplier

A new supplier may be proposed by any employee, but only the Operations Director can add a supplier to the Approved Supplier List. A new supplier is assessed against these criteria:

- **Price competitiveness:** quoted prices within 10% of the current approved supplier for the same item.
- Lead time of 14 calendar days or less for standard items.
- A minimum order quantity that fits our storage space and usage.
- For safety equipment, proof that the products meet EN ISO 20471 (hi-vis clothing) or EN 388 (protective gloves).

Before the first order, the supplier must provide the following documents: a signed Supplier Code of Conduct, a valid business registration and VAT number, bank details on company letterhead, proof of liability insurance of at least EUR 1,000,000, and a current price list. The Warehouse Manager checks the documents and sends a recommendation to the Operations Director, who approves or rejects the supplier within 10 working days.

Every newly approved supplier starts with a 90-day trial period. During the trial, each individual order is limited to EUR 2,500 and every delivery is fully inspected on arrival. At the end of the trial, the supplier becomes fully approved only if on-time delivery was at least 90% and there were no major quality issues.

4. Ordering Rules

- **Minimum order quantity:** every PO must be for at least the supplier's minimum order quantity (PackRight GmbH 50 units, PalletCo 20 units, SafeGear Supplies 30 units). Orders below the minimum will be rejected by the system and must not be split or placed by phone to get around this rule.
- **Approval limits:** POs up to EUR 1,000 need no additional approval. POs from EUR 1,000 to EUR 5,000 must be approved by the Warehouse Manager. POs above EUR 5,000 must be approved by the Operations Director. Splitting one requirement into several smaller POs to stay under an approval limit is a breach of this policy.
- **Lead-time planning:** reorder early enough that stock arrives before it runs out. As a rule, raise the PO when remaining stock covers less than the supplier's lead time plus 3 days of buffer.
- **Consolidating orders:** items from the same supplier should be combined on one PO per week where possible. PackRight GmbH orders for tape and boxes should always be combined.
- **Order cut-off:** POs approved before 14:00 (CET) on a working day are sent to the supplier the same day. POs approved after 14:00 are sent the next working day, and the lead time starts from the supplier's confirmation.
- Each PO must state the SKU, quantity, unit price, delivery address and the requester's name.

5. Delivery and Lead-Time Expectations

Suppliers must confirm each PO in writing within 2 working days. Deliveries are accepted at the goods-in dock Monday to Friday, 07:00 to 15:00. A delivery is late if it arrives after the confirmed delivery date.

- 1 to 2 days late: the requester contacts the supplier's order contact for a new delivery date.
- 3 or more days late: the requester escalates to the Warehouse Manager, who decides whether to use a backup supplier (see Section 9).
- 7 or more days late: the Warehouse Manager informs the Operations Director, and the PO may be cancelled without penalty.

Every late delivery is recorded in the supplier log so that it counts in the quarterly performance review.

6. Quality and Returns

All deliveries are checked at goods-in against the PO and the delivery note. Visible damage, wrong items or short quantities must be noted on the delivery note before it is signed. Damaged or defective goods must be reported to the supplier within 48 hours of delivery, with photos and the PO number. Hidden defects found later must be reported within 14 days of delivery.

Damaged goods are moved to the quarantine area and must not be used. The supplier must either replace the goods or issue a credit note within 10 working days of the report. The Warehouse Manager follows up any credit note that has not been received after 10 working days. Damaged pallets from PalletCo must never be used for storage or dispatch, because of the risk of collapse.

7. Supplier Performance Review

The Warehouse Manager prepares a supplier scorecard every quarter, within 15 working days of the quarter end. The scorecard measures on-time delivery rate, defect rate (the share of delivered units that are damaged or defective), order accuracy and responsiveness.

- **Target:** on-time delivery of 95% or higher and a defect rate below 2%.
- **Warning:** on-time delivery below 90% or a defect rate of 2% to 5%. The supplier receives a written warning and must send a corrective action plan within 30 days.
- **Probation:** on-time delivery below 80%, a defect rate above 5%, or two warnings in a row. No new orders above EUR 1,000 may be placed with the supplier, and the Operations Director decides within 30 days whether to remove the supplier from the Approved Supplier List.

8. Payment Terms and Price Changes

Standard payment terms are net 30 days from the date of a correct invoice. Invoices are paid only when they match the PO and the goods-received record (three-way match). Invoices that do not match are returned to the supplier and the 30 days restart when a corrected invoice arrives. Early-payment discounts (for example 2% if paid within 10 days) may be accepted with Warehouse Manager approval.

Suppliers must give at least 60 days' written notice of any price increase. Prices on a confirmed PO cannot change. A price increase of more than 5% on any item must be reviewed by the Warehouse Manager, who may request quotes from alternative suppliers.

9. Emergency and Backup Suppliers

If an approved supplier cannot deliver on time or cannot supply an item, the requester informs the Warehouse Manager immediately. The Warehouse Manager may approve a one-off emergency purchase from a backup supplier, limited to EUR 2,500 per order and to the quantity needed for the next 14 days. The normal approval limits in Section 4 still apply. Emergency purchases must be recorded in the supplier log within 1 working day with a short reason.

Safety equipment is the exception: it must never be bought from a backup or unapproved supplier. If SafeGear Supplies cannot deliver, the Warehouse Manager reallocates existing stock of gloves and vests between shifts and asks the Operations Director to fast-track the onboarding of a second safety supplier.

10. Ethics and Compliance

- **Gifts and hospitality:** employees may accept gifts from suppliers with a value of up to EUR 50 per person per year. Anything above EUR 50 must be declined or declared to the Operations Director. Cash or cash-like gifts (vouchers) must always be declined.
- **Conflicts of interest:** any employee with a personal or family link to a supplier must declare it in writing to the Operations Director and must not raise or approve POs for that supplier.
- **Fair competition:** for any new requirement expected to exceed EUR 5,000 per year, at least 3 written quotes must be obtained.
- Breaches of this policy may lead to disciplinary action. Concerns can be raised in confidence with the Operations Director.